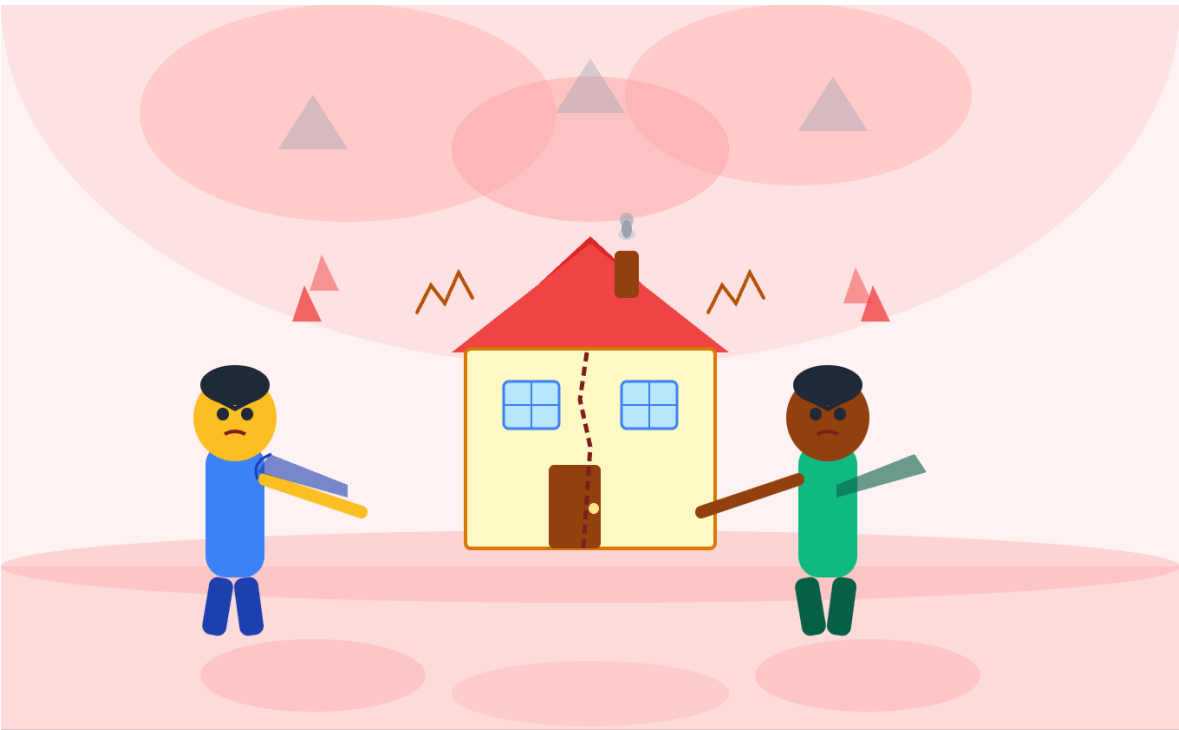


When Families Fight Over Property: Why a "Family Arrangement" Might Be the Smartest Move You Never Knew About

Family arrangements | Wills & Succession | 10 min read

> *"Dad is gone. The house, the business, the ancestral land and suddenly three siblings who once shared a bedroom are calling lawyers."*

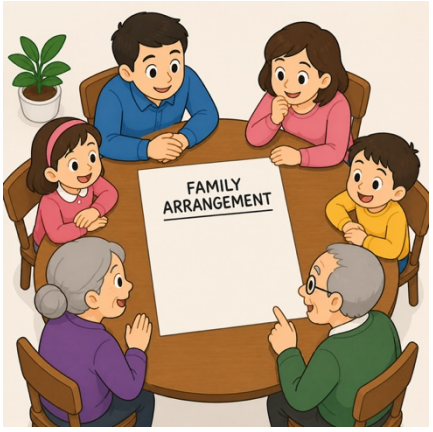
Sound familiar? If you've watched a family fracture over property or lived through it you already know that legal battles over inheritance don't just drain bank accounts. They drain relationships, memories, and years of life. Courts are slow, litigation is expensive, and by the time a judge pronounces who gets what, some families stop speaking altogether.

But what if there was a legally recognized, court-approved, tax-efficient way to settle all this quietly, fairly, and without burning the family down? There is. It's called a **Family Arrangement,** and it has been quietly saving Indian families from courtroom disasters for over a century.

So, What Exactly Is a Family Arrangement?

A Family Arrangement (also called a Family Settlement) is an agreement between members of the same family to resolve disputes over property amicably, voluntarily, and without necessarily going to court. It can cover ancestral property, self-acquired assets, shares in a business, movable property, even intellectual property. It can be oral or written. It does not always require registration. And it is binding.

The Supreme Court in the landmark case of Maturi Pullaiah v. Maturi Narasimham gave us perhaps the most elegant definition in Indian jurisprudence:



"A family arrangement is an agreement between members of the same family, intended to be generally and reasonably for the benefit of the family either by compromising doubtful or disputed rights, or by preserving family property, or the peace and security of the family by avoiding litigation, or by saving its honour."

Notice what the court emphasizes: '**benefit of the family'**. Not the benefit of one heir. Not the interest of the loudest claimant. The family, that spirit ,the idea that family cohesion is itself a legal value worth protecting is what makes this doctrine remarkable

Why Does This Matter? (Especially When There's a Will Involved)

Here's where it gets interesting and relevant to anyone dealing with wills, trusts, or inheritance disputes.

Wills are supposed to provide clarity. In practice, they often do the opposite. A will can be challenged on grounds of fraud, undue influence, lack of testamentary capacity, or improper execution. Once challenged, you're in court, and facing proceedings. Meanwhile, property sits in limbo, businesses stall, and siblings stop attending family weddings.

A Family Arrangement sidesteps all of this. Rather than fighting over '*what the will says'*, the family agrees on '*what makes sense'*. And courts, historically, have loved this approach.

In Kale v. Deputy Director of Consolidation ,one of the most cited family law decisions in India, Supreme Court crystallized the conditions for a valid Family Arrangement into clear propositions:

I. It must be **bona fide**, genuinely aimed at resolving disputes, not evading tax or defrauding someone.
II. It must be **voluntary**, no coercion, no undue influence, no fraud.
III. It may be **oral**, and if oral, requires no registration.
IV. If reduced to writing as a **memorandum** (not a fresh deed of rights), it still does not require compulsory registration.
V. The parties must have **some antecedent title or claim** even a potential or semblance of a claim counts.

That last point is crucial. You don't need to prove in court that you '*definitely'* have a right to the property. You just need a plausible claim, even one based on affection or long-standing family understanding. Courts have upheld arrangements where one party had only a "semblance of a claim."

The Three Big Myths — Busted

Myth 1: "It must be in writing and registered."

Not necessarily. The Supreme Court in Ravinder Kaur Grewal v. Manjit Kaur unequivocally held that a Memorandum of Family Settlement does not require registration. It is merely a record of what was agreed upon not a deed creating new rights. The terms of such an arrangement may subsequently be reduced into writing in the form of a memorandum, merely to record what has already been agreed between the parties. Accordingly, it does not require registration.

Similarly, in Tek Bahadur Bhujil v. Debi Singh Bhujil the court clarified that where the parties reduce the family arrangement into writing with the intention that the document itself shall create, declare, or define their rights in the property, the document assumes the character of an instrument of title. In such circumstances, registration becomes mandatory under law.

Myth 2: "Only blood relatives can be part of it."

Also wrong. In Krishna Beharilal v. Gulabchand, Supreme Court held that "family" in this context is not to be narrowly interpreted as persons who have a legal right of succession. If the dispute is between near relations, the settlement qualifies. A daughter-in-law, a close cousin, a long-standing family associate, courts look at the '*nature of the relationship*' and the 's*ubstance of the dispute*', not just bloodline.

Myth 3: "A Family Arrangement is just a transfer of property — so capital gains tax applies."

This is perhaps the most consequential myth. The answer is: generally, no. A Family Arrangement is not a *transfer* under the Income Tax Act. It is a *realignment of pre-existing rights*.

In Ramcharandas v. Girjanandini Devi the Supreme Court held that a bona fide family settlement to end disputes is not a transfer; it is not even the creation of a new interest. Each party takes their share by virtue of an independent title mutually acknowledged by the others. Consequently, no capital gains tax arises on such a settlement — a point affirmed by multiple High Courts and Tribunals across India.

Real Cases, Real Consequences

The judiciary has wrestled with Family Arrangements in dozens of fact patterns. A few tell the whole story:

The Restaurant Family (Chennai ITAT, 2018): A popular restaurant chain run as a family partnership faced a split when one son wanted to exit. The family paid him Rs. 226 lakhs as compensation. The tax department called it royalty and tried to disallow the deduction. The Tribunal said no , this was a family settlement, a distribution of partnership assets, not taxable as capital gain, and allowable as a deduction. In this way, family harmony was protected by minimizing tax liability.

The Shareholders' War (Bombay HC, 2017): Two groups of a family fought over a company. The settlement required the *company itself* to transfer shares. Bombay High Court drew a hard line; a company is a separate legal entity. It cannot hide behind the family arrangement its shareholders reached. Lifting the corporate veil for tax purposes is not available to a company that chose corporate existence in the first place. Here, we learn an important lesson that Family arrangements protect *people*, 'not' corporate structures used as shields.

The Sham Settlement (Delhi ITAT, 2018): A company transferred a huge volume of shares to another entity, called it a "family realignment," and claimed exemption. The Tribunal rejected it outright — no documentation, no evidence of a genuine family arrangement, no settlement deed, no proof of relationship. The label "family arrangement" does not automatically confer immunity. Substance matters.

How Do You Actually Do This? A Practical Guide

If your family is sitting on disputed property — or anticipating disputes after a death — here's what a valid Family Arrangement looks like in practice:

Step 1: Acknowledge the dispute. Courts only recognize settlements aimed at resolving existing or potential disputes. There must be a genuine disagreement, or a reasonable anticipation of one.

Step 2: Identify all claimants. Anyone with a plausible claim — including those with merely a semblance of a right — should be part of the discussion.

Step 3: Agree voluntarily. The arrangement must be free from coercion, undue influence, or fraud. If even one party was pressured, the entire arrangement becomes voidable.

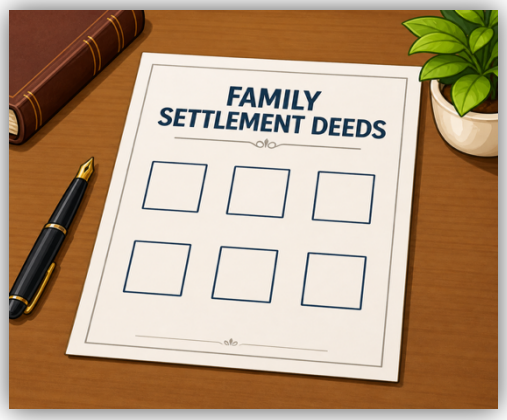
Step 4: Document it as a Memorandum. While oral arrangements are valid, documenting the terms in a signed, witnessed Memorandum of Settlement is strongly advisable. It is not a conveyance deed; it does not necessarily require stamp duty or registration (unless it transfers rights in immovable property for the first time or creates entirely new interests).

Step 5: Keep it honest. The Supreme Court in Hansa Industries v. Kidarsons Industries held that a Family Settlement, once made in good faith, cannot be modified without the consent of all parties. The terms are binding. And critically — if the arrangement is designed to evade taxes or defraud creditors, it is void. Good faith is not optional; it is the foundation.

What Should a Family Arrangement Deed Actually Contain?

Here is what the deed needs:

- **Parties and relationships**: name everyone with a plausible claim. An excluded claimant is a future lawsuit.



- **Statement of intent**: why this arrangement exists. Courts want to see genuine dispute resolution, not a paper exercise.
- **Asset distribution**: detailed description, valuation, and mechanics. Vagueness here is dangerous.
- **Mutual consent**: record that every party entered voluntarily. Coercion makes the whole thing voidable.
- **Rights and obligations**: what each party keeps, gives up, or takes on going forward.

- **Execution formalities**: stamp paper of appropriate value, signed by all parties, witnessed. If the deed *creates* rights in immovable property for the first time (rather than recording a prior oral agreement), register it under Section 17 of the Registration Act, 1908.

The Bigger Picture: Why Courts Love This

Indian courts have, consistently and enthusiastically, leaned in favor of Family Arrangements. The reason is not merely legal pragmatism; it is a normative commitment. Courts believe families are better served by harmony than litigation. They believe that a negotiated peace, reached among people who share history and blood, is superior to an imposed judgment.

As the Supreme Court noted in Sahu Madho Das v. Mukand Ram courts give effect to family arrangements "upon the broad and general ground that its object is to settle existing or future disputes regarding property amongst members of a family. The consideration for such a settlement will result in *establishing or ensuring amity and goodwill amongst pe*rsons bearing relationship with one another."

A Word of Caution!

Family Arrangements are powerful, but they are not magic. They can be challenged if they lack free consent, violate statutory rights (particularly of minors or women), include property subject to legal restrictions, or are structured to circumvent law. It is advisable to use them to resolve genuine disputes not as vehicles for tax evasion or to sideline family members from their rightful inheritance.

The arrangement should be, in the words of the courts, bona fide. Good faith is not just a moral requirement. It is a legal one.

Conclusion: The Best Inheritance You Can Leave.

Family disputes over property are as old as families themselves. They are, in some ways, inevitable, especially when wills are ambiguous, assets are co-owned, or relationships have frayed. However, the law offers a better path than the courtroom: a path built on conversation, consensus, and mutual acknowledgment of each other's rights.

A Family Arrangement doesn't just divide property. Done right, it preserves something far more valuable: the ability of family members to remain, after everything, a family.

‘So the next time someone asks 'what do we do about Dad's house?' don't dial a lawyer first. Dial your brother. The courts have been telling us for decades that the family table beats the courtroom. “Maybe it's time we believed them."

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